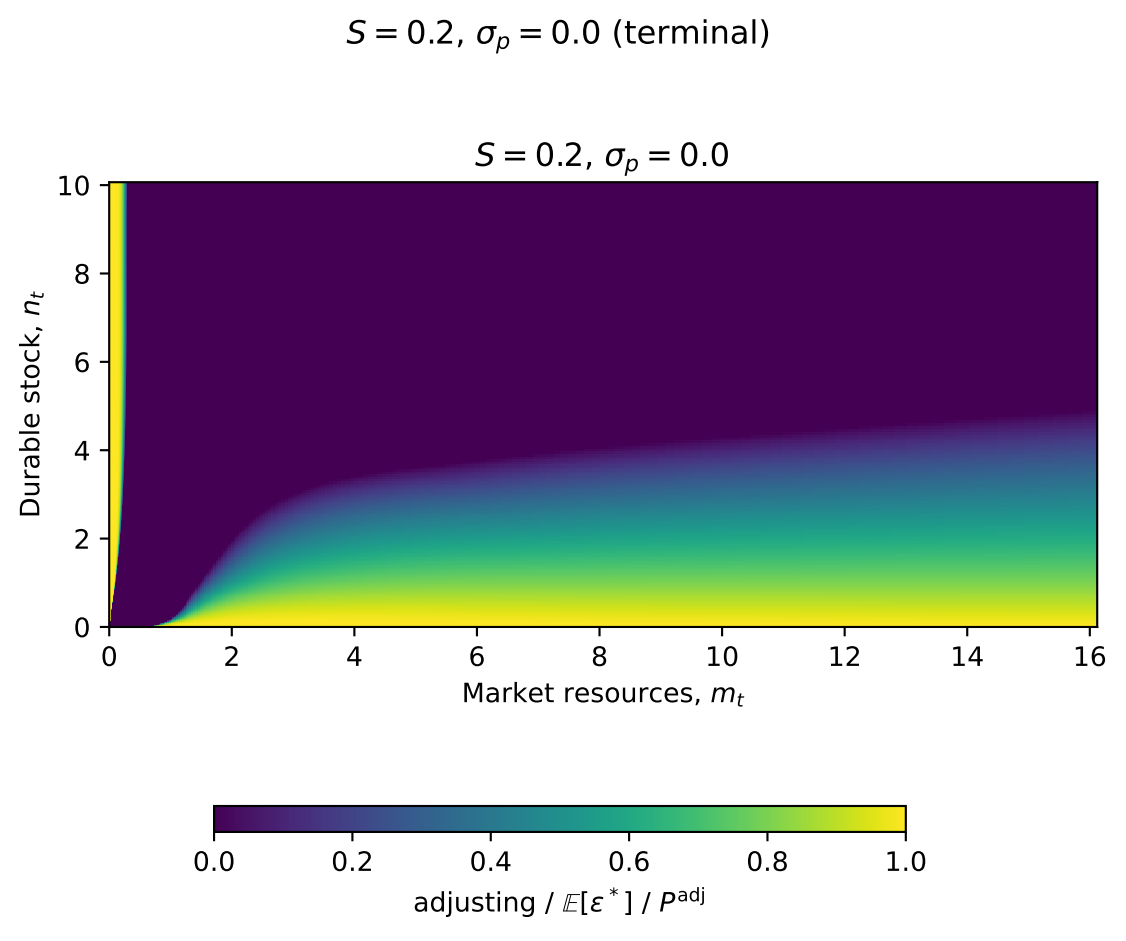

$S = 0.2$, $\sigma_p = 0.0$ (terminal)
$S = 0.2$, $\sigma_p = 0.0$
Durable stock, n_t
Market resources, m_t
0
2
4
6
8
10
12
14
16
0.0
0.2
0.4
0.6
0.8
1.0
adjusting / $\mathbb{E}[\varepsilon^*]$ / P^{adj}